

SPV Debt Syndication: The "Risk-Reward Pack" Model

Objective: Unitize the 70,000,000 KES raise into distinct investment packs (Note Classes) to cater to varying investor risk appetites, time horizons, and yield requirements, while maintaining a single clean Master Loan for the UK FIC.

1. The "Pack" Architecture (Avoiding the Syndication Trap)

To satisfy UK Anti-Money Laundering (AML) requirements and avoid becoming an unregulated mutual fund, the SPV will not accept micro-investments.

- **Total Raise:** 70,000,000 KES
- **Unitization:** 14 Total "Packs" available at **5,000,000 KES per Pack**.
- **Investor Limit:** Maximum of 14 individual investors (or fewer, if investors buy multiple packs). This keeps compliance documentation (Proof of Funds) highly manageable for the UK bank.

Investors can choose to buy into one of three distinct classes of packs, depending on their thesis on the Kenyan Shilling's timeline.

2. The Tranche Profiles (Investor Options)

The SPV offers three distinct classes of Debt Notes. All notes carry the baseline 3% KES interest, but their Early Repayment Triggers and Sweeteners vary drastically.

Class A Packs: The "Quick Hedge" (Low Risk / Low Patience)

- **Target Investor:** Nervous about the immediate 1-2 year outlook. Wants to get their money into GBP and finalized quickly at the first sign of a major slip.
- **Execution Trigger:** Automatically bought out by the FIC when KES drops by 20% (£1 = 208 KES).
- **The Yield Mechanic:** Receives a modest 5% early repayment fee + 10% FX sweetener.
- **Result:** They secure their capital in hard currency quickly, taking a modest profit. They are out of the deal early, freeing up the FIC's debt burden.

Class B Packs: The "Bond Matcher" (Medium Risk / Medium Patience)

- **Target Investor:** Wants to match or beat the 16% Kenyan sovereign bond rate, but entirely in GBP, and is willing to wait 2-4 years for a confirmed structural devaluation.
- **Execution Trigger:** Bought out by the FIC when KES drops by 35% (£1 = 256 KES).
- **The Yield Mechanic:** Receives a 10% early repayment fee + 20% FX sweetener.
- **Result:** Their total yield engineered at this threshold perfectly mimics what they would have made in domestic high-yield bonds, but completely offshored and protected from domestic default.

Class C Packs: The "Deep Shorter" (High Risk / High Patience)

- **Target Investor:** True believers in a catastrophic devaluation/default event. They want maximum leverage against the Shilling and are willing to wait 5+ years.
- **Execution Trigger:** Bought out by the FIC when KES drops by 50% (£1 = 333 KES).
- **The Yield Mechanic:** Receives a 15% early repayment fee + 30% FX sweetener.

- **Result:** Massive payout. They take on the most duration risk but receive the lion's share of the FX windfall when the ultimate crash occurs.

3. How the UK FIC Manages Multiple Triggers

You might wonder: *How does the FIC pay off Class A without paying off Class C? Does it have to refinance the whole Woolston house multiple times?*

No. The FIC handles this elegantly through **Capital Flexibility**:

1. **Using Rental Income for Early Tranches:** A 4-bedroom property in Centenary Quay, Woolston, generates strong, steady GBP rental income. Because the underlying debt is in depreciating KES at only 3%, the FIC will accumulate surplus GBP cash quickly. When the 20% drop (Class A trigger) hits, the FIC may not even need to refinance; it can simply use accumulated rental cash reserves to pay off the Class A packs.
2. **The BTL Refinance for Later Tranches:** When the deep triggers hit (Class B and C), the FIC executes a standard Buy-to-Let (BTL) remortgage in the UK. Because the property is worth £360,000+ (plus any capital appreciation over those years), pulling out £150,000 - £200,000 to clear the remaining SPV debt will be standard procedure.
3. **Debt Consolidation:** As the KES drops, the *pound-equivalent* cost of the SPV debt shrinks rapidly. By the time Class C triggers, clearing that debt will cost the FIC a fraction of its original GBP value.

4. Strategic Advantages of the Pack System

- **Marketability:** Your proxy isn't forcing a "one size fits all" complex derivative on investors. They are offering a menu.
- **Cash Flow Protection for FIC:** By staggering the exits, your FIC doesn't face a massive, single "balloon" payment. If the Shilling degrades slowly, you pick off the Class A debt early, reducing your overall KES interest burden.
- **Legal Simplicity:** The SPV manages the internal accounting of who owns which "Pack." The UK FIC just has one Master Loan with the SPV that says: *"Facility A can be called at 208 KES, Facility B at 256 KES..."* keeping HMRC and UK legal fees incredibly straightforward.